AM Best

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AM Best Withdraws Credit Ratings of First Acceptance Corporation and Its Subsidiaries

CONTACTS:

Maurice Thomas
Senior Financial Analyst
+1 908 882 2392
maurice.thomas@ambest.com

Joseph Burtone
Director
+1 908 882 1678
joseph.burtone@ambest.com

Christopher Sharkey
Associate Director, Public Relations
+1 908 882 2310
christopher.sharkey@ambest.com

Al Slavin
Senior Public Relations Specialist
+1 908 882 2318
al.slavin@ambest.com

FOR IMMEDIATE RELEASE

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AM Best has affirmed the Financial Strength Rating (FSR) of C++ (Marginal) and the Long-Term Issuer Credit Ratings (Long-Term ICR) of “b+” (Marginal) of the subsidiaries of First Acceptance Corporation (Delaware) [OTCQX: FACO], collectively referred to as First Acceptance Insurance Group (First Acceptance). (See below for a detailed list of the companies and ratings.) Concurrently, AM Best has affirmed the Long-Term ICR of “ccc-” (Weak) of First Acceptance Corporation. The outlook of these Credit Ratings (ratings) is stable. At the same time, AM Best has withdrawn these ratings as the company has requested to no longer participate in AM Best’s interactive rating process.

The ratings reflect First Acceptance’s balance sheet strength, which AM Best assesses as weak, as well as its marginal operating performance, limited business profile and marginal enterprise risk management (ERM).

The weak balance sheet assessment reflects the significant volatility in policyholder surplus, elevated underwriting leverage measures and adverse reserve development during the latest five-year period. In recent years, additions to policyholder surplus have been reported due to net income from operations and capital contributions from its parent. Overall risk-adjusted capitalization as measured by Best’s Capital Adequacy Ratio (BCAR) remains strong. Despite improvement in recent periods, the position remains highly sensitive to premium growth and reserve adequacy. First Acceptance’s marginal operating performance is driven by persistent underwriting losses and fluctuating operating results. However, underwriting losses are partially offset by fee and other income. The group’s limited business profile reflects operations that are focused solely on non-standard automobile business. ERM is viewed as marginal as the framework continues to evolve. While steps have been taken to integrate a more formalized structure, risk management capabilities are not fully aligned with the organization’s profile.

The FSR of C++ (Marginal) and the Long-Term ICRs of “b+” (Marginal) have been affirmed, with stable outlooks. Concurrently, AM Best has withdrawn the ratings at the company’s request for the following pooled subsidiaries of First Acceptance Corporation:

- First Acceptance Insurance Company, Inc.

- First Acceptance Insurance Company of Georgia, Inc.
- First Acceptance Insurance Company of Tennessee, Inc.

This press release relates to Credit Ratings that have been published on AM Best's website. For all rating information relating to the release and pertinent disclosures, including details of the office responsible for issuing each of the individual ratings referenced in this release, please see AM Best's Recent Rating Activity web page. For additional information regarding the use and limitations of Credit Rating opinions, please view Guide to Best's Credit Ratings. For information on the proper use of Best's Credit Ratings, Best's Performance Assessments, Best's Preliminary Credit Assessments and AM Best press releases, please view Guide to Proper Use of Best's Ratings & Assessments.

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Related Companies

For information about each company, including the Best's Credit Reports, group members (where applicable) and news stories, click on the company name. An additional purchase may be required.

AMB#	Company Name
051487	First Acceptance Corporation
012544	First Acceptance Ins Co of Georgia
013595	First Acceptance Ins Co of Tennessee
011832	First Acceptance Insurance Company, Inc.
018600	First Acceptance Insurance Group

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